

The Coca-Cola Company

KO · Quick Research

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1) Understandability & Growth Story

- **How it makes money:** The Coca-Cola Company manufactures beverage concentrates and syrups and sells branded non-alcoholic drinks globally through a network of bottlers, distributors and retailers.
- **Specific growth driver: Premiumization & category expansion** — gains from higher-margin brands and acquisitions (e.g., Topo Chico, BODYARMOR, Costa) and price/mix improvements over the next 3–5 years.
- **Controllable vs. external: Controllable** — largely company execution (brand portfolio, pricing, channel mix), though FX and commodity costs remain external risks.

2) Diagnostic Profile (No Single Category)

- **Cyclicality:** Low | **Conviction:** High | **Evidence:** EPS steady 2.19 (2022) → 2.47 (2023) → 2.46 (2024) → 3.04 (2025), no $\geq 30\%$ swings.
- **Turnaround status:** None | **Conviction:** High | **Evidence:** Revenue and profit trend are positive, no multi-year deterioration.
- **Growth profile:** Stalwart-like | **Conviction:** Medium | **Evidence:** 2-yr EPS CAGR $\approx 10\text{--}11\%$ (2.47 → 3.04 over 2 years).
- **Business maturity:** Mature | **Conviction:** High | **Evidence:** \$342B market cap, global scale, diversified portfolio.
- **Asset angle:** None | **Conviction:** High | **Evidence:** Tangible book $\approx$ \$4.15B vs market cap \$342B (no hidden asset gap).
- **Dominant analytical lenses:** Stalwart-like growth; Earnings quality / cash flow consistency

3) Fatal Flaw Check

- **EPS trend:** Acceptable for category — EPS rose 2.19 (2022) → 3.04 (2025).
- **Debt danger: Disqualifying** — interest-bearing debt ($\approx \$43.9\text{B}$) $\div$ equity ($\$33.63\text{B}$) $\approx$ **130% D/E** (threshold for this category: 80%).
- **Valuation (PEG): Disqualifying** — PEG = **3.93** (>2.5).
- **Recent trend break:** 2024 FCF fell: Free cash flow 2023 $\$9.75\text{B}$ → 2024 $\$4.74\text{B}$ while net income stayed ~flat ($10.71 \rightarrow 10.63\text{B}$), flagging a temporary cash-flow weakness.
- **Cash flow red flag:** Medium concern — OCF/FCF weakened in 2024 then recovered in 2025 (OCF: $11.60\text{B} \rightarrow 6.81\text{B} \rightarrow 7.41\text{B}$).

Because **debt leverage** (and high PEG) breach fatal thresholds, proceed no further.

4) Category specific check

- For a Stalwart-like company this is not normally required, but **balance-sheet leverage is an obvious concern** (see $\text{D/E} \approx 130\%$), reducing margin for error.

5) Bonus Points

- **Recent insider buying:** multiple insider purchases in 2026 listed.
- **Share buybacks:** small reduction in shares outstanding ($4,328\text{M} \rightarrow 4,301\text{M}$ from 2022 → 2025) indicating buyback activity.

6) Decision

- **SKIP** — Single most important dealbreaker: **Interest-bearing debt $\approx \$43.9\text{B}$ vs equity $\$33.63\text{B}$ ($\text{D/E} \approx 130\%$)**, above the 80% red-flag threshold for mature/stalwart companies.

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